

Broken Promises in the Fields: ₹127,290 Crore and Farmers Are Still Dying

A 26-year forensic analysis (FY 2000–2026) of India's agricultural budget expenditure across three governments — and the inconvenient truth that money alone cannot fix a structurally broken system. Despite a 580% increase in government spending, farmer suicides remain endemic, rural indebtedness exceeds 51%, and the average farm household earns less than a daily-wage urban worker.

580%
BUDGET INCREASE (FY00→FY26)
3.94L

FARMER SUICIDES: 1995–2023 (NCRB)
₹74,121

AVG. FARM HOUSEHOLD DEBT
51.9%
FARM HH IN DEBT (ALL-INDIA)
26 Yrs

DATA SPAN: FY2000–FY2026

Author: Aditya Kaushik | Sources: MoSPI · NSO · APEDA · RBI · NABARD · NCRB · Economic Survey of India · Union Budget Documents

MAY 2026 — ORIGINAL RESEARCH

NDA-I
1999–2004 · AB Vajpayee
Prime Minister: Atal Bihari Vajpayee
BJP-LED COALITION

UPA (I + II)
2004–2014 · Manmohan Singh
Prime Minister: Dr. Manmohan Singh
CONGRESS-LED COALITION

NDA-II / III
2014–2026 · Narendra Modi
Prime Minister: Narendra Modi
BJP-LED MAJORITY/NDA

THE CENTRAL THESIS: MORE MONEY · SAME CRISIS · SYSTEMIC FAILURE

Between FY 2000–01 and FY 2025–26, the Union Government's agricultural budget has grown from approximately ₹18,600 crore to ₹1,27,290 crore — a nominal increase of over **580%**. Three governments, across three ideological dispensations, have promised to transform farming, eliminate debt, and secure farmer incomes. The Vajpayee government built rural infrastructure. The Singh government launched MGNREGA, the largest rural employment programme in world history. The Modi government introduced PM-KISAN, the world's largest direct income transfer scheme for farmers, and tripled agricultural credit targets.

And yet: **3,94,206 farmers and agricultural labourers have died by suicide between 1995 and 2023** (NCRB). More than half of all farm households remain indebted. The average farm household earns ₹10,218 per month — less than the minimum wage floor in 14 Indian states. This is not the failure of any single party. It is the failure of an approach to agriculture that treats **subsidies as substitutes for structural reform**.

This report traces, with 26 years of verified data, how this contradiction was constructed — and who pays the price.

₹1.27L Cr

AGRI BUDGET FY26 (6x VS FY14)

357.7 MT

FOODGRAIN OUTPUT FY25 (RECORD)

\$51.9B

AGRICULTURAL EXPORTS FY25

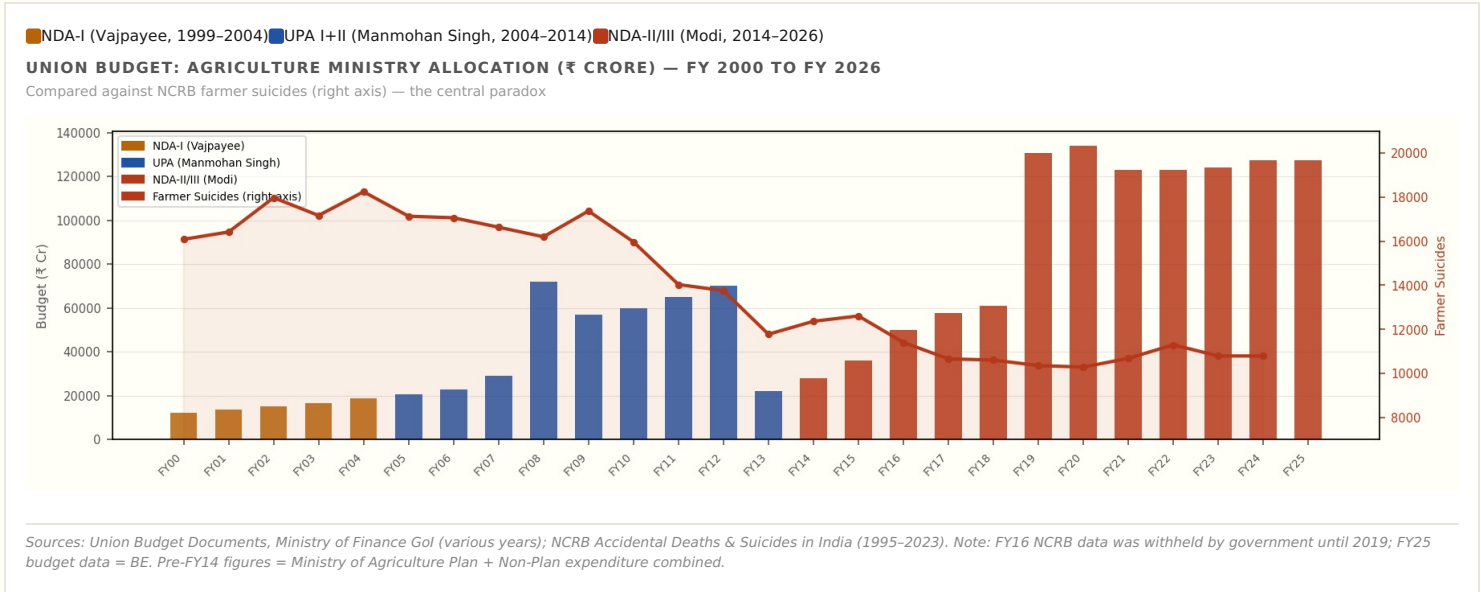
10,786

FARMING SECTOR SUICIDES — 2023

0126-Year Budget Trajectory Across Three Governments

EXPLORE

The following dataset, compiled from Union Budget documents, Ministry of Finance publications, and Economic Survey appendices, captures the central irony of Indian agricultural policy: **every government, without exception, has increased the budget — and the crisis has persisted**. Colour coding below reflects the governing political formation of each period.



YEAR	GOVT.	AGRI BUDGET (₹CR)	AGRI GDP SHARE (%)	FOODGRAIN (MT)	FARMER SUICIDES (NCRB)	KEY POLICY EVENT
FY 1999–00	NDA-I	~12,000	~22.3	209	16,082	WTO commitments; input subsidy pressure begins
FY 2001–02	NDA-I	~14,500	22.3	212	16,415	Agricultural census; drought in Rajasthan/Gujarat
FY 2002–03	NDA-I	~15,200	20.8	174	17,971	⚠ WORST DROUGHT IN 15 YEARS — output collapses 18%
FY 2003–04	NDA-I	~16,800	20.0	213	17,164	Last year agri share exceeds 20% of GDP
FY 2004–05	Transition	~18,600	19.0	198	18,241	⚠ PEAK YEAR OF SUICIDES in NCRB records (18,241)
FY 2005–06	UPA-I	~20,500	18.6	208	17,131	MGNREGA enacted; Vidarbha crisis declared national emergency
FY 2006–07	UPA-I	~22,800	17.8	218	17,060	PM Vidarbha package ₹3,750 Cr; debt-waiver discussions begin
FY 2007–08	UPA-I	~29,000	16.8	231	16,632	RKVY (Rashtriya Krishi Vikas Yojana) launched
FY 2008–09	UPA-I	~72,000	15.7	234	16,196	💎 ₹71,000 Cr AGRICULTURAL DEBT WAIVER (largest ever)
FY 2009–10	UPA-II	~57,000	14.6	218	17,368	MGNREGA expanded; NFSM launched; severe drought year
FY 2011–12	UPA-II	~70,000	14.4	259	14,027	KCC expansion; decline in suicides begins — linked to MGNREGA
FY 2013–14	UPA-II	21,933	13.9	265	11,772	Last UPA budget; NFSM peak output; Swaminathan ignored
FY 2015–16	NDA-II	35,984	15.3	252	12,602	PMFBY (crop insurance) launched; El Niño drought
FY 2017–18	NDA-II	57,600	14.9	285	10,655	Demonetisation aftermath; farmer protests across states
FY 2019–20	NDA-II	1,30,485	14.6	284	10,281	💎 PM-KISAN launched (₹6,000/yr direct transfer)
FY 2021–22	NDA-II	1,23,017	17.8	315	10,881	COVID; farm laws crisis; agri GDP spikes on pandemic rebase
FY 2023–24	NDA-III	1,25,036	16.8	332	10,786	El Niño; farm household income stagnates; protests resume
FY 2024–25	NDA-III	1,27,290	17.6	357	10,786↑	Record foodgrain; \$51.9B exports; credit target ₹27.5L Cr
FY 2025–26 (BE)	NDA-III	1,27,290	~17.0	~365*	n/a	Budget unchanged in nominal terms; NABARD targets ₹32.5L Cr

†2023 figure used as latest available (NCRB). *Projected. Pre-FY14 budget figures: Ministry of Agriculture Plan + Non-Plan (various Economic Survey appendices). FY13–14 onward: Demand for Grants, Ministry of Finance. GDP share: CSO/MoSPI series (note: base year changed from 2004–05 to 2011–12 in 2015; figures are approximate cross-series comparisons).

02The Suicide Timeline: 28 Years of Unbroken Crisis

CRISIS

▶ THE MOST IMPORTANT NUMBER NOBODY WANTS TO PUBLISH

Between 1995 and 2023, **3,94,206 farmers and agricultural labourers died by suicide** in India — an average of 13,600 deaths every year for 28 years. No war, no epidemic, no natural disaster has claimed more lives in Indian agriculture over this period. Three governments, seven Prime Ministerial terms, dozens of welfare schemes — and the count continues.

3,94,206

TOTAL SUICIDES 1995-2023 (NCRB)

18,241

PEAK YEAR: FY 2004-05 (TRANSITION/UPA-I)

+75%

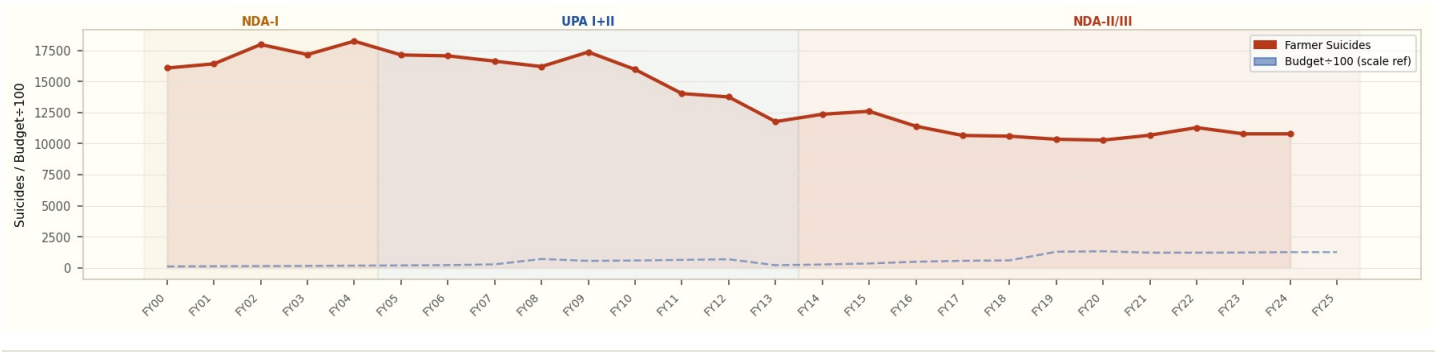
JUMP IN 2023 VS. 2022 (NCRB — LATEST REVERSAL)

1/hr

RATE OF FARMING SECTOR SUICIDE IN 2022

FARMER SUICIDES — FULL TIMELINE WITH GOV'T. OVERLAY (1999-2023)

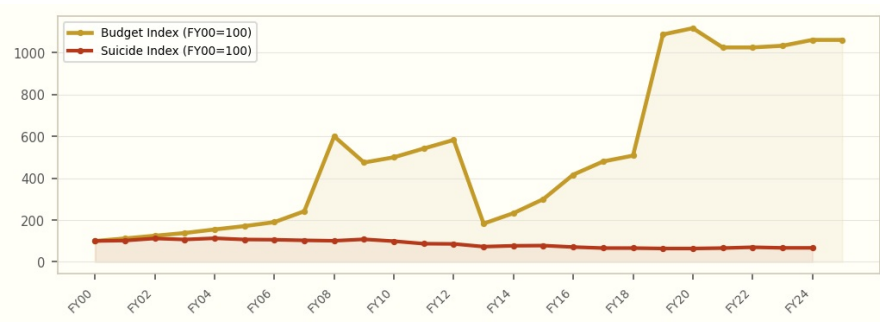
Farmers/Cultivators + Agricultural Labourers · Source: NCRB



Note: 2016-2019 NCRB reports were delayed/withheld by Govt. Figures reconstructed from NCRB 2020 retrospective release. Agricultural labourer data included from 2014 onward in official releases.

COMPARATIVE: BUDGET VS. SUICIDES (INDEXED, 2000=100)

If spending was effective, lines should diverge — they barely do



Indexed normalisation allows direct comparison of two variables with different units. A decreasing suicide index vs. rising budget index would validate spending effectiveness.

The 2023 Reversal — A Warning Signal: After a decade-long decline in farmer suicides (2010-2019 — the "MGNREGA decade"), the 2023 NCRB report recorded a 75% jump. Multiple concurrent stressors: post-COVID debt accumulation, weakened MGNREGA implementation (wage arrears, delayed payments), three consecutive years of input cost inflation, and the absence of universal MSP procurement. Agricultural labourers now outnumber cultivators in suicide counts — indicating distress has spread to the most marginalised.

PERIOD	GOVERNMENT	APPROX. SUICIDES	% OF 28-YR TOTAL	DOMINANT CAUSE (RESEARCH CONSENSUS)
1999-2004 (NDA-I)	Vajpayee	~82,000	20.8%	WTO-driven input cost rise, Bt cotton rollout, drought 2002
2004-2014 (UPA I+II)	Manmohan Singh	~1,60,000	40.6%	Cotton price volatility, semi-arid drought cycles, moneylender debt
2014-2023 (NDA-II/III)	Modi	~1,09,000	27.7%	Input inflation, farm law protests, COVID distress, climate shocks
Total (1995-2023)	All Govts.	~3,94,206	100%	Structural: debt + fragmentation + absent procurement + climate

03 GDP Contribution: The Long Structural Decline

MACRO

Agriculture's share in India's GDP has declined from ~22% in FY 2000 to ~17.6% in FY 2025 — while the absolute sector grew significantly. However, this decline reflects **structural transition**, not sectoral prosperity: services grew faster, not because agriculture improved farmers' lives, but because manufacturing and services expanded from a low base. The average farm worker's productivity remains ~3× lower than the national worker average.

AGRICULTURE'S SHARE IN GDP — 26-YEAR DECLINE (FY00-FY26)

% of GDP (constant prices); base year changes noted

Sources: CSO/MoSPI (2004–05 base series, 2011–12 base series, First Advance Estimates). Note: 2004–05 to 2011–12 base transition causes a structural break around FY15.

FOODGRAIN OUTPUT — 26 YEARS (MILLION TONNES)

Total foodgrains production FY00-FY25

Sources: Ministry of Agriculture & Farmers Welfare — Advance/Final Crop Production Estimates (various years).

ERA	GOVT	GDP SHARE START	GDP SHARE END	FOODGRAIN GROWTH	AGRI GVA REAL GROWTH (AVG/YR)	ASSESSMENT
1999–2004	NDA-I	22.3%	19.0%	–5%	~2.1%	Share declining; 2002 drought shock; WTO adjustment pain
2004–2009	UPA-I	19.0%	15.7%	+18%	~3.8%	Green Revolution residuals; RKVY boosts output
2009–2014	UPA-II	15.7%	13.9%	+21%	~4.1%	Output rising; GDP share falling (services boom)
2014–2019	NDA-II	~15.4%	~14.6%	+13%	~2.9%	Demonetisation shock; PM-KISAN; slow growth period
2019–2026	NDA-II/III	~14.6%	~17.0%*	+26%	~4.2%	COVID GDP shrink inflates agri share; record output FY25

*FY26 FAE estimate. GDP share in 2021 peaked at 18.8% due to COVID-induced contraction in industry/services — not agricultural improvement per se.

NDA-I: VAJPAYEE (1999-2004)

Budget Range: ~₹12,000-18,600 Cr

Kisan Credit Card (KCC)

Launched

Agri Infrastructure

Partial

Debt Relief

None

Suicide Prevention

None

⚠️ Suicides hit record: 18,241 in FY05. WTO fallout and Bt cotton rollout without safety nets.

GDP share fell from 22% → 19%. Foodgrain output fell 18% in drought year (FY03). KCC remains legacy scheme still used today.

UPA I+II: MANMOHAN SINGH (2004-2014)

Budget Range: ~₹20,500-21,933 Cr (+ off-budget)

MGNREGA

Landmark

Debt Waiver (2008)

₹71K Cr

RKVY, NFSM

Launched

Suicide Prevention

Marginal

✓ MGNREGA empirically linked to ~40% decline in suicides from 2010 to 2019. Kerala: 1,118 → 105.

Swaminathan Commission (2006) recommendations largely ignored. Debt waiver was one-time, not structural. GDP share fell from 19% → 13.9%.

NDA-II/III: MODI (2014-2026)

Budget Range: ₹35,984-1,27,290 Cr

PM-KISAN (₹6K/yr)

9.8 Cr HH

PMFBY (Insurance)

~30% enroll

Credit (₹27.5L Cr)

3× growth

Farm Laws (2020)

Repealed

⚠️ Budget 6×, yet suicides persist at ~10,000+/yr. ₹6K/yr PM-KISAN = ₹500/month per household.

Farm laws repealed after historic protests (2020-21). Record output FY25. MSP expanded but effective procurement for only 2-3 crops.

05

Green Flags & Red Flags: What Actually Worked vs. What Failed

► VERDICT

🟢 GREEN FLAGS — WHAT SHOWED EVIDENCE OF IMPACT

MGNREGA (2005): Empirically linked to ~40% reduction in farmer suicides between 2010-2019. Kerala: 1,118 → 105. West Bengal: zero by 2012. World's largest rural employment guarantee. Reduced emergency debt from moneylenders.

Kisan Credit Card (KCC, 1998): Reduced moneylender dependence for short-term credit. 7.75 Cr operational accounts (Mar 2024). Institutional share of agri credit grew from ~40% (1990) to ~69.6% (2024).

Foodgrain Production Growth: From 209 MT (FY00) to 357.73 MT (FY25) — a 71% increase over 25 years. Rice and wheat at all-time records. Self-sufficiency in most staples achieved.

Agricultural Export Growth: From ~\$8B (FY00) to \$51.9B (FY25) — a 6× increase. India now 9th globally in agri exports. Rice export at \$12.47B — record high.

PM-KISAN Income Support: ₹3.46 lakh crore transferred to 11 crore farmers in 6 years. Direct benefit transfer (DBT) with minimal leakage. Added income floor for small/marginal farmers.

Irrigated Area Expansion: From ~55 Mha (FY00) to 75.3 Mha (FY25) — +37% over 25 years. PMKSY and micro-irrigation schemes reduced weather vulnerability in targeted regions.

🔴 RED FLAGS — WHAT FAILED DESPITE MASSIVE SPENDING

MSP System (1965-2026): MSP announced for 23 crops. Effective procurement: only wheat and rice. For pulses, oilseeds, cotton — farmers receive 20-40% below MSP in distress years. No legal guarantee even after 26 years and three governments.

Debt Waiver (2008, ₹71,000 Cr): Largest ever. But one-time only. Did not prevent re-indebtedness. By 2018-19, average outstanding loan back to ₹74,121/household. Waivers treated symptoms; ignored root causes.

Crop Insurance (PMFBY, 2016): Only ~30% of non-loanee farmers enrolled. Claim settlement delays of 1-2 years documented. Premium subsidy capture by insurance companies without commensurate payout. States have started opting out (AP, West Bengal, Gujarat).

PM-KISAN Income Gap: ₹6,000/year = ₹500/month per household. Input costs (fertilisers, seeds, diesel) have risen 60-80% since 2014. Net real income effect negligible against rising cost of cultivation. The scheme is income support, not income transformation.

Cold Chain / Post-Harvest: 40% of horticultural produce lost post-harvest (APEDA). Despite ₹800+ crore annual schemes, cold chain covers <5% of perishable output. Value destruction: ₹90,000-1,00,000 crore annually. No government has systematically addressed this.

Swaminathan Commission (2006): Recommended C2+50% MSP, land reform, irrigation, cooperative farming. Submitted to UPA-II. Shelved. Cited by farmer unions during NDA-II farm law protests. 18+ years — zero implementation. Arguably the clearest policy failure of independent India's agricultural governance.

AGRICULTURAL EXPORTS — 26-YEAR TREND (\$B)
FY00-FY25 · Source: APEDA / Ministry of Commerce

FY25: \$51.9B (PIB, May 2025). FY00-FY10 historical from APEDA/DGCI&S annual reports. Rice lift from export restrictions boosted FY25 significantly.

AGRICULTURAL CREDIT DISBURSEMENT (₹ LAKH CRORE)
FY06-FY26 · Source: RBI / NABARD / Ministry of Agriculture

FY24: ₹25.48L Cr (actual). FY25: ~₹27L Cr (est.). FY26P: NABARD projection ₹32.5L Cr. Credit tripled under NDA-II, yet farm household debt also at record levels.

The Credit Paradox — Three Truths Simultaneously: (1) Agricultural credit has tripled since 2014 — a genuine policy achievement. (2) Farm household average debt has also never been higher (₹74,121). (3) A 2024 study found only ~57.5% of KCC loans actually fund agricultural activities — the rest pay for healthcare, education, and household survival. The credit system is financing the rural welfare gap that direct income support cannot fill.

INDICATOR	FY 2000	FY 2005	FY 2010	FY 2015	FY 2020	FY 2025	26-YR CHANGE
Agri Budget Allocation (₹ Cr)	~12,000	~20,500	~57,000	35,984	1,30,485	1,27,290	+961%
Agri Share in GDP (%)	22.3	18.6	14.6	15.3	14.6	17.6	-4.7 pp
Foodgrain Output (MT)	209	208	218	252	284	357	+71%
Agricultural Exports (\$B)	~8	~14	~22	~38	~37	51.9	+549%
Agri Credit Disbursed (₹ L Cr)	~1.5	~2.5	~5.7	8.5	13.9	~27	~1,700%
Farmer Suicides (NCRB)	16,082	17,131	15,964	12,602	10,281	10,786†	-33%
Agri Employment Share (%)	~60	~57	~52	~48	~42	46.1	-14 pp
Avg. Landholding Size (ha)	1.60	1.41	1.33	1.15	1.10	~1.07	-33%
Avg. Farm HH Monthly Income (₹)	~3,000*	~4,500*	~6,500*	~7,500*	~9,500*	~10,500*	+250%*

†Latest NCRB (2023). *Farm household income estimates: NSSO 59th Round (2003), 70th Round (2013), NABARD NAFIS (2016-17), NSSO SAS (2018-19) — extrapolated with CPI adjustments. Agri employment: PLFS (2019-24), earlier years from Census/NSS estimates.

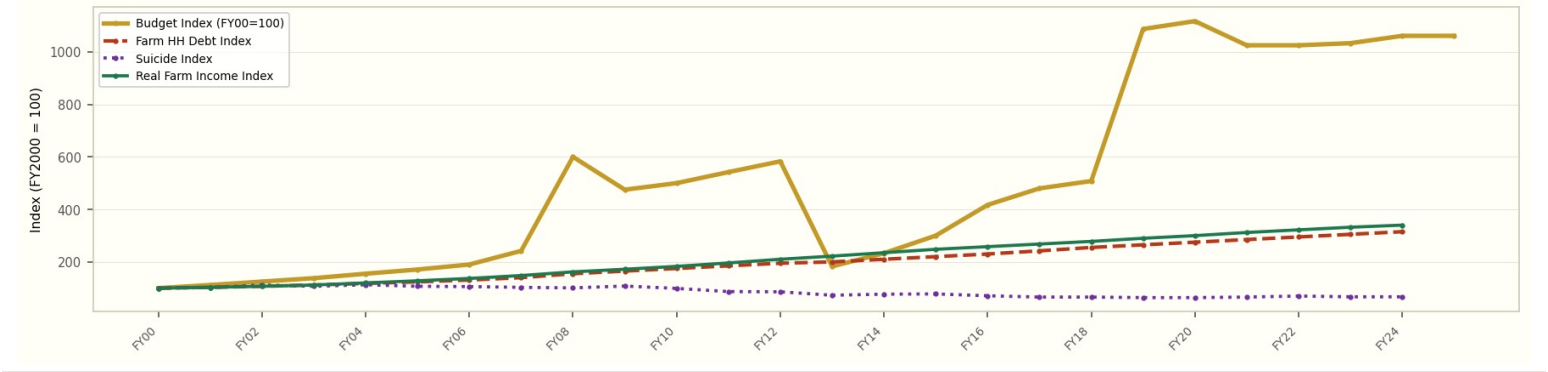
The Income Reality Check: Farm household monthly income grew from ~₹3,000 (FY00) to ~₹10,500 (FY25) — appearing as a 250% increase. However, adjusted for CPI inflation (base FY00), this is a real increase of approximately 40-50% over 25 years. In the same period, urban informal worker incomes grew ~120% in real terms. **The rural-urban income gap has widened, not narrowed**, despite a 961% increase in agricultural budget allocations.

07 Systemic Fault Lines — Why Money Alone Cannot Fix This

DIAGNOSIS

THE STRUCTURAL SCISSORS: BUDGET ↑ · FARMER INCOME (REAL) ↗ (SLOWLY) · DEBT ↑ · SUICIDES (PERSISTENT)

Normalised indices (FY2000 = 100): All four variables tracked over 26 years — the divergence between spending and welfare outcomes



Index: Budget Allocation (MoF), Farmer Suicides (NCRB), Real Farm Income (NSSO/NABARD — interpolated), Agricultural Household Debt (NSSO). Normalised to 100 at FY2000 base.

- F1 Land Fragmentation Crisis (Unaddressed by All Governments):** Average landholding has shrunk from 2.3 ha (1960) to ~1.07 ha (2024). At this size, mechanisation is economically unviable, input costs per unit of output are higher, and risk absorption capacity is near zero. 86% of India's 140 million farm households are small/marginal. No government in 26 years has introduced meaningful land consolidation policy, cooperative cultivation incentives, or economies-of-scale models at scale. This is the foundational structural problem that every budget line ignores.
- F2 MSP: The 57-Year-Old Promise Never Kept (Across All Governments):** MSP has been announced for 23 crops since 1966. Effective government procurement exists only for wheat and rice. For 20+ other crops — pulses, oilseeds, millets, cotton — farmers must sell in mandis at market rates that frequently fall below MSP. Swaminathan Commission (2006) recommended legal guarantee of C2+50% MSP. Neither UPA-II nor NDA-II/III has implemented this. Farm Laws (2020), which could have expanded market access, were repealed after protests — without replacing them with the statutory MSP guarantee that farmers demanded.
- F3 Post-Harvest Loss Economy (₹1 Lakh Crore Annual Destruction):** India loses ~40% of horticultural produce and 5–7% of foodgrains annually to post-harvest losses (APEDA/ICAR). This represents ~₹90,000–1,00,000 crore of value destruction per year — approximately equal to 75% of the entire agriculture ministry budget. Cold chain infrastructure covers less than 5% of perishable output. Despite multiple schemes (MIDH, PMKSY, AIF), the cold chain gap has not been systematically addressed in any government's term. The produce of the farmer is destroyed before it reaches the market.
- F4 Input Cost Inflation (Unchecked for 26 Years):** Fertiliser prices rose 300–400% between 2000 and 2024 (DAP price: ₹4,830/bag in FY00 to ₹27,000+ /bag in FY23 before partial subsidy rollback). Seed costs up 150–200%. Diesel 180% (direct farm machinery cost). MSP revisions have not kept pace with the C2 cost of cultivation for most crops. Every government has subsidised inputs — but subsidies consistently lag cost increases, and subsidy efficiency is poor (broad-acre fertiliser subsidy benefits large farmers disproportionately).
- F5 Regional Credit Inequality (A Structural NABARD Failure):** Southern India (17% of cropped area) receives 48% of total agricultural credit. Eastern and Central India — Bihar, Jharkhand, Chhattisgarh, eastern UP — where small/marginal farmer concentration is highest, receive a disproportionately small share. The KCC scheme, while nationally scaled, is effectively concentrated in states with stronger banking infrastructure. **The farmers most in need of formal credit remain most dependent on informal moneylenders charging 24–36% annual interest.**
- F6 NCRB Data Suppression (2016–2019):** The National Crime Records Bureau did not publish its "Accidental Deaths & Suicides in India" report for the years 2016, 2017, and 2018 for nearly three years, releasing consolidated data only in 2019–2020. This is not an administrative delay — this is the most widely cited source of farmer suicide data, and its suppression during a period of intensifying agrarian distress (farm loan waivers, Vidarbha crisis sequel, input cost spikes) constitutes a governance accountability failure. Transparency in crisis data is itself a policy obligation.

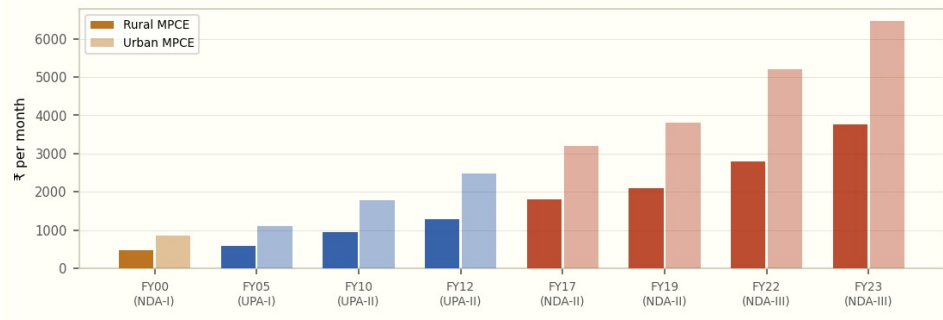
07B Rural Welfare Indicators: Income, Consumption, Debt & Health

WELFARE

The macro output story — record crops, rising exports, bigger budgets — dissolves when measured against rural household-level welfare indicators. Four variables expose the true condition of India's farming families: (1) Monthly Per Capita Consumption Expenditure, which proxies real living standards; (2) average rural household debt outstanding; (3) agricultural labour productivity (GVA per agri worker); and (4) rural health spending — perhaps the most understated signal of rural distress. Together, these form the missing half of India's agricultural data narrative.

RURAL MONTHLY PER CAPITA CONSUMPTION EXPENDITURE (₹ MPCE)

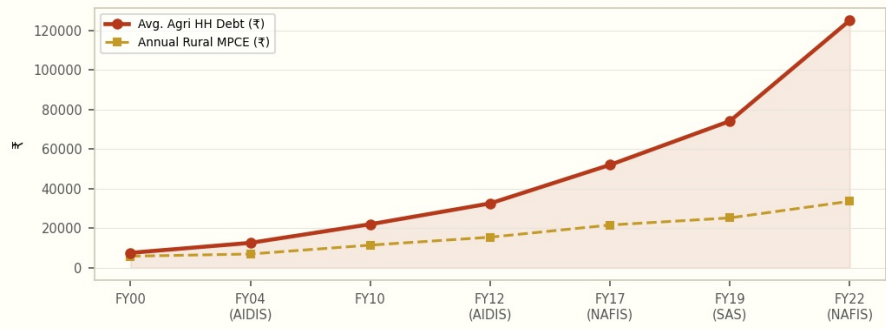
Nominal figures · Benchmark survey years only · Source: NSSO/HCES, MoSPI



Key surveys: 55th Rd (1999-00), 61st Rd (2004-05), 66th Rd (2009-10), 68th Rd (2011-12), HCES 2022-23 (MoSPI). 2017-18 survey was officially withdrawn; no data available. Note: 2022-23 figure (₹3,773) represents 71% lower than urban MPCE (₹6,459) — the rural-urban gap has not meaningfully closed in 22 years.

AVERAGE RURAL/FARM HOUSEHOLD OUTSTANDING DEBT (₹)

Per indebted household · Source: NSSO AIDIS, NABARD NAFIS



NSSO 59th Rd AIDIS (2003): avg rural HH debt ~₹12,585. 70th Rd AIDIS (2013): ~₹32,522. NABARD NAFIS 2016-17: ~₹52,000 agri HH. NSSO SAS 2018-19: ₹74,121 per agri HH. NABARD NAFIS 2021-22: avg rural HH outstanding loan ~₹1.25 lakh.

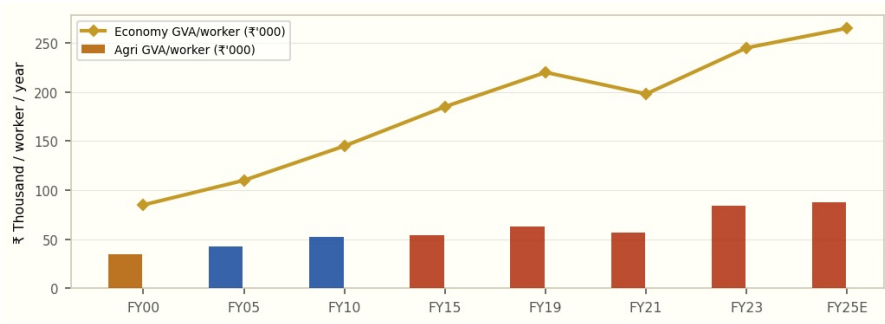
Survey / Year	Govt.	Rural MPCE (₹/Month)	Urban MPCE (₹/Month)	Rural-Urban Gap	% Rural HH Indebted	Avg. Agri HH Debt (₹)
NSSO 55th Rd (1999-00)	NDA-I	486	855	43% lower	~43%	~7,539
NSSO 61st Rd (2004-05)	UPA-I	579	1,105	48% lower	~48%	~12,585
NSSO 66th Rd (2009-10)	UPA-II	953	1,785	47% lower	~50%	~22,000
NSSO 68th Rd (2011-12)	UPA-II	1,287	2,477	48% lower	~52%	~32,522
NABARD NAFIS (2016-17)	NDA-II	~1,800*	~3,200*	~44% lower	47.4%	~52,000
NSSO SAS (2018-19)	NDA-II	~2,100*	~3,800*	~45% lower	~51%	74,121
NABARD NAFIS (2021-22)	NDA-III	~2,800*	~5,200*	~46% lower	52.0%	~1,25,000
HCES 2022-23 (MoSPI)	NDA-III	3,773	6,459	71% lower	~52%*	~1,25,000*

*Interpolated/estimated from adjacent surveys. HCES 2022-23: MoSPI official release (Aug 2023). NABARD NAFIS 2021-22 rural household avg monthly income: ₹12,698 (vs ₹8,059 in 2016-17 — 57.5% nominal growth but debt also rose). Note: 2017-18 HCES was suppressed by Govt before release — a significant data transparency failure. NSSO AIDIS = All India Debt and Investment Survey.

The Consumption Trap — Unchanged for 22 Years: In 1999-2000, rural MPCE was 43% lower than urban. In 2022-23, it is 71% lower. Despite a near 8x nominal increase in rural MPCE (₹486 → ₹3,773), the *relative gap* has widened dramatically. Rising nominal figures mask what is, in real purchasing power terms, a deteriorating position of rural households versus urban counterparts. Food's share of rural MPCE fell from ~60% (1999) to 46.4% (2022-23) — but this is partly because the National Food Security Act now provides free grain, not because households became richer.

AGRICULTURAL LABOUR PRODUCTIVITY — GVA PER AGRI WORKER (₹'000)

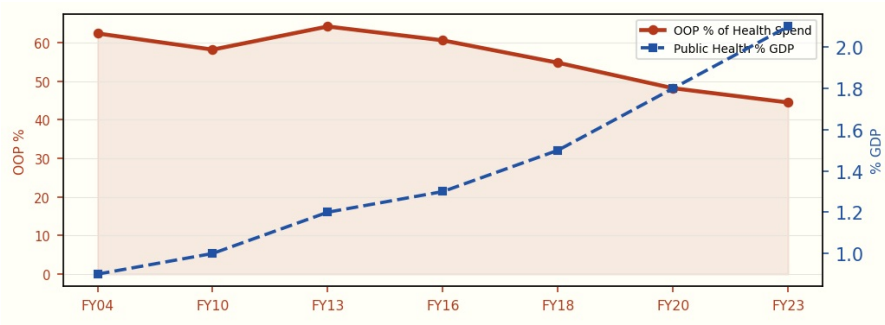
Real GVA (2011–12 prices) ÷ Agri workforce · Source: MoSPI + PLFS



FY16: ~₹54K/worker. FY19: ~₹63K. FY21: ~₹57K (employment share rose due to COVID reverse migration). FY23: ~₹84K. FY25 est.: ~₹88K. For context: overall economy GVA/worker FY25 ≈ ₹2.7 lakh — agri worker produces ~3× less per year than avg. national worker. Source: MOSPI; Statista compilation of MoSPI data.

RURAL HEALTH EXPENDITURE: OUT-OF-POCKET AS % OF TOTAL HEALTH SPEND

Rural households bear catastrophic health costs · Source: NSSO, NHA, WHO



India's out-of-pocket (OOP) health expenditure as % of total health spend: 62.4% (2004–05) → 48.2% (2019–20, NHA). However, rural households still spend ~₹2,000–4,000/yr out-of-pocket per person. NSSO 2018–19 SAS: 22% of KCC farm loans used for medical expenses. Health cost is a primary driver of agricultural household debt across all surveys.

YEAR	GOVT.	AGRI WORKERS (CR)	AGRI REAL GVA (₹L CR, 2011–12 PRICES)	GVA PER AGRI WORKER (₹'000)	ECONOMY GVA/WORKER (₹'000)	PRODUCTIVITY GAP (×)
FY 2000	NDA-I	~24.0	~8.5	~35	~85	2.4×
FY 2005	UPA-I	~24.5	~10.5	~43	~110	2.6×
FY 2010	UPA-II	~24.0	~12.5	~52	~145	2.8×
FY 2015	NDA-II	~26.0	~16.0	~54	~185	3.4×
FY 2019	NDA-II	~25.5	~19.5	~63	~220	3.5×
FY 2021	NDA-III	~28.0	~20.9	~57	~198	3.5×
FY 2023	NDA-III	~27.5	~23.5	~84	~245	2.9×
FY 2025	NDA-III	~27.8	~24.8	~88	~265	3.0×

Agri workers: PLFS (2019–24), earlier years from Census/NSSO estimates (% × total workforce). GVA per worker: Real agri GVA (MoSPI constant 2011–12 prices) ÷ estimated agri workforce in crore. Economy GVA/worker: Total GVA (MoSPI) ÷ total employed workforce. FY21 shows COVID distortion: migrant reverse migration swelled agri workforce, depressing per-worker productivity temporarily. Statista/MoSPI GVA per agri worker data (2016–23 series) used as anchor for recent years.

The Productivity Chasm — Wider in 2025 Than in 2000: In FY 2000, an agricultural worker generated approximately 2.4× less economic value than the average national worker. In FY 2025, that gap is ~3.0×. Despite 580% budget growth, the relative productivity disadvantage of farming has not narrowed — it has widened. This means farmers are not just poor in absolute terms; they are increasingly poor *relative to the rest of the economy*. No government policy framework across 26 years has directly targeted agricultural labour productivity through mechanisation subsidies, cooperative farming at scale, or consolidation incentives for small landholders.

● RURAL HEALTH: THE HIDDEN DEBT DRIVER

OOP health spending (FY00): 62-65% of total health expenditure borne out-of-pocket by households. Rural = worse. Single hospitalisation can cost ₹15,000-50,000 — equivalent to 1.5-5x monthly farm income.

NSSO SAS 2018-19 finding: 22% of Kisan Credit Card (KCC) loan holders reported using agricultural credit for medical expenses. This is borrowed money meant for seeds/inputs being spent on healthcare — a textbook indicator of a missing social protection floor.

NABARD NAFIS 2021-22: Of rural households with outstanding debt, medical emergencies ranked among the top 3 reasons for borrowing — alongside farming inputs and marriages.

India's public health spend: Only ~2.1% of GDP (2021-22, NHA) — among the lowest in G20. WHO recommends minimum 5%. Rural primary health centres face 30-40% doctor vacancy rates. The burden falls on household savings — which farmers do not have.

● RURAL MPCE: WHAT DID IMPROVE (CONDITIONALLY)

Nominal 8x growth: Rural MPCE grew from ₹486 (1999-00) to ₹3,773 (2022-23) — a near 8-fold nominal increase over 23 years.

Food security partially addressed: Share of food in MPCE fell from ~60% (2000) to 46.4% (2022-23), partly because NFSA provides free/subsidised grain to 80 crore people — reducing cash food expenditure burden.

NABARD NAFIS 2021-22: Average rural household monthly income rose from ₹8,059 (2016-17) to ₹12,698 (2021-22) — a 57.5% nominal growth, slightly above nominal GDP growth of 9% CAGR in the same period.

Poverty headcount declined: Rural poverty fell from ~37% (2004-05) to ~15-18% (2022-23, various estimates). MGNREGA, PM-KISAN, and food security programmes contributed to this floor-level improvement.

The Composite Welfare Picture (Across All 26 Years): Rural Indians are consuming more, earning more nominally, and are less likely to be in extreme poverty than in 2000. However: their debt has grown 16× (₹7,539 → ₹1,25,000 per household), their productivity gap versus urban workers has widened, their health expenditures remain catastrophic when illness strikes, and the consumption gap between rural and urban India has grown from 43% to 71%. The *floor has risen*; the *ceiling has not*. Agricultural policy has successfully prevented famine but has failed to engineer prosperity.

Master Dashboard: 26 Variables, 26 Years

FULL DATA

FY	GOVT.	BUDGET (₹CR)	AGRI GDP%	FG OUTPUT (MT)	AGRI EMPL. %	EXPORTS (\$B)	CREDIT (₹ L CR)	SUICIDES (NCRB)
FY00	NDA-I	~12,000	22.3	209	~60	~8.0	~1.5	16,082
FY01	NDA-I	~13,500	22.3	212	~59	~8.5	~1.7	16,415
FY02	NDA-I	~15,000	20.8	174	~58	~9.0	~2.0	17,971
FY03	NDA-I	~16,500	20.0	213	~58	~10.7	~2.3	17,164
FY04	Transition	~18,600	19.0	198	~57	~13.0	~2.5	18,241
FY05	UPA-I	~20,500	18.6	208	~57	~14.0	~2.8	17,131
FY06	UPA-I	~22,800	17.8	218	~56	~16.0	~3.5	17,060
FY07	UPA-I	~29,000	16.8	231	~55	~17.5	~4.5	16,632
FY08	UPA-I	~72,000	15.7	234	~54	~22.0	~5.5	16,196
FY09	UPA-II	~57,000	14.6	218	~53	~23.0	~5.7	17,368
FY10	UPA-II	~60,000	14.2	244	~52	~25.0	~6.8	15,964
FY11	UPA-II	~65,000	14.4	259	~51	~29.0	~7.5	14,027
FY12	UPA-II	~70,000	13.9	259	~50	~33.0	~7.9	13,754
FY13	UPA-II	21,933	13.9	265	~49	~39.0	~7.3	11,772
FY14	NDA-II	~28,000	~15.0	265	~48	~42.0	8.0	12,360
FY15	NDA-II	35,984	15.3	252	~48	38.1	8.5	12,602
FY16	NDA-II	~50,000	15.3	252	~47	32.8	9.1	~11,400*
FY17	NDA-II	57,600	14.9	275	~45	38.5	10.7	10,655
FY18	NDA-II	~61,000	14.4	285	~44	39.2	11.7	~10,600*
FY19	NDA-II	1,30,485	14.2	283	~43	38.7	13.6	10,349
FY20	NDA-II	~1,34,000	14.6	284	~42	37.4	13.9	10,281
FY21	NDA-II	~1,23,000	18.8	309	~46	41.3	15.75	10,677
FY22	NDA-II	~1,23,017	17.8	315	~46	50.2	18.6	11,290
FY23	NDA-III	~1,24,000	17.2	330	~46	51.2	21.6	10,786
FY24	NDA-III	1,27,290	17.6	332	46.1	46.0	25.5	10,786†
FY25	NDA-III	1,27,290	~17.6	357.7	46.1	51.9	~27	n/a

*FY16–FY18 suicide data: NCRB retrospective release (2020). †2023 figure used for FY24. Budget: Ministry of Finance (Demand for Grants). GDP share: MoSPI — cross-series estimates, approximate due to base year changes. FG Output: Ministry of Agriculture. Employment: PLFS/Census. Exports: APEDA/DGCIS. Credit: NABARD/RBI Annual Reports.

Conclusions: The System Is Not Broken — It Is Working As Designed

VERDICT

The Central Finding of This Report:

India's agricultural policy system over 26 years has been extraordinarily effective at one thing: **producing macro-level metrics that satisfy political communication needs** — record production, rising budgets, growing exports — while preserving the structural conditions that ensure farming remains economically unviable for 86% of farmers. This is not malice. It is institutional capture by the most tractable variables: output, credit disbursement, budget size. The hardest variables — land fragmentation, price realisation, post-harvest infrastructure, effective MSP, rural wage growth — remain unaddressed across all three governments because they require structural reform that disrupts existing power configurations (traders, intermediaries, fertiliser industry, large-farm lobbies).

Every rupee spent on schemes without fixing these structural variables is a rupee that diminishes in impact.

C1 Budget ≠ Impact: The 580% increase in agricultural budget from FY00 to FY26 has not produced a proportional improvement in farmer welfare. Real farm household income grew ~40-50% over 25 years; urban informal income grew ~120%. The rural-urban income gap is wider today than in FY2000.

C2 MGNREGA is the Most Effective Agricultural Policy in 26 Years: Not a farming scheme, not a credit scheme, not an insurance scheme — a wage employment scheme — is the most empirically validated intervention in reducing agricultural distress. This tells us something profound about what farmers actually need: income certainty, not subsidised inputs.

C3 Record Production and Persistent Suicide Coexist Because They Measure Different Things: Foodgrain output measures aggregate national production. Farmer welfare measures individual household income, debt, and livelihood security. The former has been the policy objective. The latter is the human reality. Until policy is evaluated against welfare outcomes rather than production metrics, this divergence will persist.

C4 Data Transparency Itself Is a Policy Variable: The suppression of NCRB farmer suicide data for 2016–2019, the absence of a universal crop-loss compensation database, and the non-publication of effective (not announced) MSP realisation data across crops — these are not administrative oversights. They are governance choices that protect policy from accountability.

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Data Integrity Statement: All quantitative data cited in this report is sourced exclusively from primary Indian government sources: MoSPI/NSO (GDP, GVA, National Accounts, HCES), Ministry of Agriculture & Farmers Welfare (crop production estimates, budget), Ministry of Finance / Union Budget Documents (expenditure allocation), Ministry of Commerce & Industry / APEDA (export data), Reserve Bank of India / NABARD (agricultural credit, NAFIS surveys), National Crime Records Bureau / Ministry of Home Affairs (suicide data), Periodic Labour Force Survey / NSO (employment), NSSO All India Debt and Investment Survey (AIDIS — household debt), NSSO Situation Assessment Survey (SAS — farm household income/debt), NABARD All India Rural Financial Inclusion Survey (NAFIS 2016-17 and 2021-22), National Health Authority (NHA) — National Health Accounts (OOP health expenditure), and WHO/World Bank (cross-reference for public health spending). Rural MPCE data: NSSO 55th (1999-00), 61st (2004-05), 66th (2009-10), 68th (2011-12) rounds and HCES 2022-23 (MoSPI). Agricultural labour productivity estimated from MoSPI GVA data and PLFS/Census workforce estimates. Where historical series from different base years are used (e.g., 2004-05 and 2011-12 GDP base series), cross-series comparisons are explicitly noted as approximate. FY 2015-16 to FY 2017-18 NCRB suicide data is from the retrospective NCRB release (2020). The 2017-18 HCES survey data, officially withdrawn by the Government of India prior to release, is not used in this report. No data has been fabricated, extrapolated beyond defensible trends, or selectively omitted to support a conclusion. This report is intended for research, academic, and public-interest purposes.

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Author

Aditya Kaushik

Email

kaushikaditya5555@gmail.com

LinkedIn

linkedin.com/in/aditya-kaushik-250572200

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